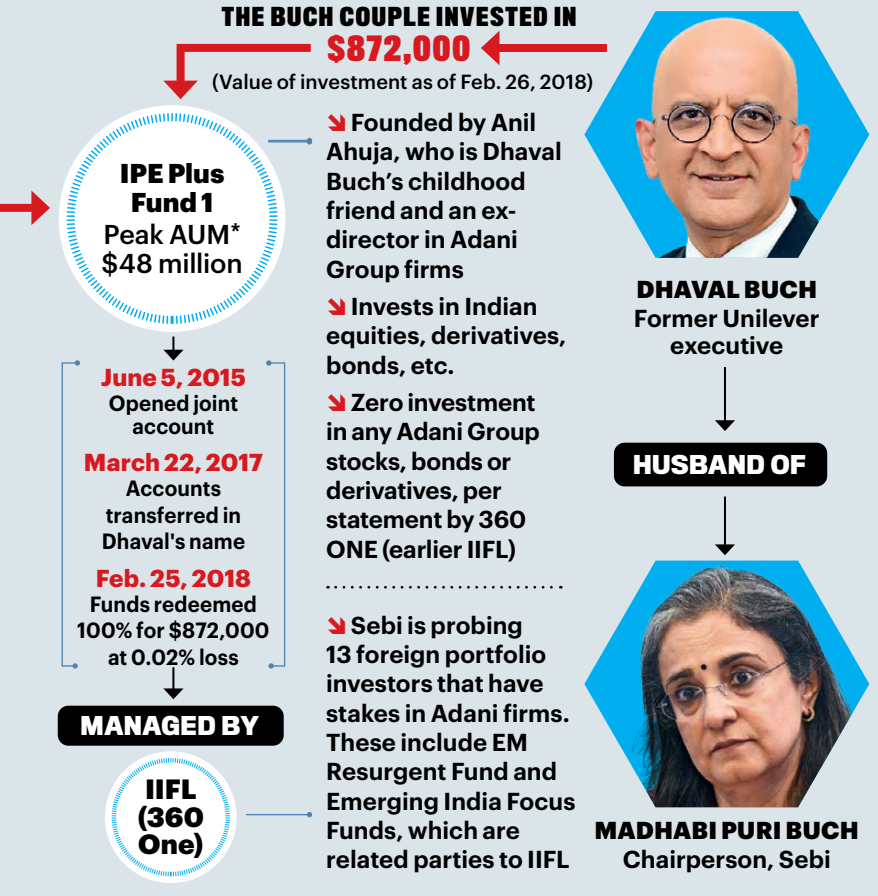


Source: Hindenburg Research, OCCRP documents quoted by adaniwatch.org
**Assets Under Management*

Graphic by TANMOY CHAKRABORTY

SLIPPING ON ADANI PROBE

Buch, who is known to put in 13 hours of work every day in the office and binges on cookery shows on Netflix on weekends, is also credited with spearheading many initiatives. They include those related to reviewing and upgrading archaic laws—be it in share buyback, the role of mutual fund trustees, alternative investment funds, public issues or REITs and the investor grievance redressal mechanism. Under her, Sebi has tightened disclosure norms for foreign portfolio investors. She holds the view that technology has moved ahead of regulations, which is why Sebi is in the process of reviewing a few outdated regulations.

It is ironic that despite all the technology and processes Sebi has put in place, it has yet to conclude its investigations into the alleged influx of funds into Adani companies from offshore entities. The key allegation by Hindenburg on August 10 was that Sebi is dragging its feet on the Adani probe precisely because of the alleged connections of its chairperson with the offshore funds. "There is a big elephant in the room," says Garg. "There were 24 allegations arising out of the Hindenburg report [on January 24, 2023, it accused the Adani Group of financial misconduct and stock manipulation]. Sebi has not been able to complete the probe even after 20 months of investigations."



"SHE SHOULD EITHER OFFER A COMPLETE DISCLOSURE OF ALL HER DEALINGS AND SUBMIT TO AN INDEPENDENT INQUIRY, WHICH WILL RESTORE THE CREDIBILITY AND INDEPENDENCE OF SEBI, OR STEP DOWN"

S.C. GARG
Former Finance Secretary

PLUGGING THE LOOPHOLES

Buch's struggles have brought to the fore the need to have better systems in place to govern the actions of those in responsible positions at regulatory bodies. Garg is of the view that Sebi's appointment rules and code of conduct "require a thorough overhaul". "I am all for appointing people from the private sector. When you make such appointments, you can't expect them not to have these kinds of investments," he says. However, he advocates the creation of ethics committees at these regulators to scrutinise such investments.

Subramanian thinks there is no need for Buch to resign just yet. However, he recommends the constitution of a committee—comprising two or three members (for instance, the government nominees on the Sebi board), as well as prominent personalities drawn from the industry—to probe matters related to Buch. "They can investigate and come out with a white paper.... If the findings are damning, she can resign." Subramanian also suggests that the government establish a mechanism to prevent the wealth of career bureaucrats from interfering with the functioning of such organisations. One option is to move the investments of all senior appointees at all regulators into a 'blind trust' as in the US, where the shareholdings, investments and financial assets are managed by a third party, without any periodic reporting. The trustee manages the trust without informing the beneficiaries (the regulator), who have no knowledge of or control over the assets.

Experts argue that it is incorrect to link the performance of the markets directly to the performance of the Sebi chief. However, there is a lurking fear that unless the Sebi chief clears the allegations against her, the credibility of the institution too would come under a cloud. And that could impact the prospects of the market in the long term. This calls for full disclosures from the chairperson on all the allegations that have been levelled against her, as well as an independent investigation into the matter, which will help the regulator maintain its transparency and credibility as the market watchdog. ■